commodities, and even art do not move with perfect correlation to U.S. equity markets. The actual correlations vary over time but there is room for most of these asset classes in a well-balanced portfolio because they will all help to reduce your shortfall risk—the risk of doing worse than the risk-free, 5% benchmark. Remember the two ingredients, though: They must have imperfect correlation and they must have a reasonable chance of making some money over time. (The price of Elvis memorabilia is not correlated with the general stock markets, but I'm not sure about the growth prospects.)

So what, then, is the right amount of diversification for you? Precisely how much should you invest in each of these asset classes? What allocation is the right one given your circumstances? How much should you invest in the U.S., the U.K., Germany, or even Japan?

Good questions. Unfortunately, as is often the case with investment decisions, the answers depend on your personal circumstances, needs, requirements, fears, and phobias—otherwise known as your attitude toward risk. I do not have a cookie-cutter, formulaic answer that will fit all possible contingencies. In fact, I am very much averse to computer programs and black-box solutions to your investment needs. You must discuss these issues with your financial planner, investment adviser, broker, or even tax accountant.

How Does Time Impact Financial Risk and Volatility?

Imagine that you've just received a windfall inheritance from a distant relative. You decide to pay off some bills and, having done so, you discover that you still have $10,000 left over. You don't really need the money right now, so you decide to put it away for a rainy day.

You call up your financial adviser and ask, "What should I do with the $10,000? Should I put it all into a well-diversified index fund? Or should I play it safe and buy a CD at my local bank?"

Of course, the prudent response on the part of your financial adviser would be to suggest some form of diversification; after all, he might say, you don't want to put all your eggs in one basket. Depending on your risk tolerance, long-term goals, and financial position, you